Account Health

Track 2

Prototype: razorpay-account-health-demo.lovable.app (synthetic data)

Account Health turns a settlement hold from a dead end into a problem the merchant can see coming, understand and fix.

Problem

Who: D2C brands doing ₹10L–50L a month on Razorpay, running on thin working capital (to validate).

What breaks: when chargebacks spike, settlements are held. The merchant finds out late, the documented reason is generic ("some risk with your payments or with your Razorpay account", Razorpay docs) and the Resolve prompt points to support. Nothing says what caused the hold or what would fix it.

Cost: frozen working capital and an unfixed root cause for the merchant; tickets, chargeback exposure & churn for Razorpay.

How I validated it

- **Reviews (directional):** of 234 one-star Play Store reviews I scraped (Sep 2025 – Sep 2026), 32, about 1 in 7, are about held funds or suspensions, often "without any reason". This shows the pain is real and severe, not how often holds happen.
- **Interview:** a Hyderabad founder (Oct 2026), no hold yet, would trust a flag only with the transactions behind it and wants to approve anything touching money: "saving two hours once a month isn't the same as preventing a serious settlement problem."
- **Razorpay today:** mapped what exists (Risk and Fraud ratios, the funds-on-hold alert, Dispute Responder, RAY) to build on it.
- **My own calls:** dropped my first idea, cut my estimate from 21.8% to 13.7% after a recount, and rejected a rename and made-up targets.
- **Still unproven:** how often holds happen and whether the plan speeds release. The pilot below tests both.

Solution

A new **Account Health** section under Settlements, with three jobs:

1. **Warn early.** A rules-based 0-100 score shows each driver against its limit and alerts the merchant while there is time to act.
2. **Explain the hold.** Why it was placed, what still works, the chargebacks behind it and what we know and don't.
3. **Plan the fix.** AI finds the likely cause (demo: 9 of 14 chargebacks trace to one courier, 3.9% against 0%) and ranks steps for an existing agent or the merchant to do, each approved first.

What's new is the coordination. Razorpay already has the pieces: ratios, alerts, Dispute Responder, RAY for payment performance. Account Health joins them: one place that finds the cause across chargebacks and shipping data, orders the fix, and hands each step to the right agent.

How I designed it

I whiteboarded the flow first, around the three questions a merchant asks in order: what's wrong, why, and what do I do. One screen per question, one main action each.

- **Where they already look:** inside the dashboard menu, next to Settlements, with the likely cause shown first.
- **Evidence before advice:** every step shows its data, what's unknown, and Urgent vs Watch severity.
- **Merchant in control:** review before hand-off, undo on skip, and no promised scores or release dates.

Why AI, and where rules stay

Rules set the score, limits, alerts and permissions, so they stay auditable. **AI** does what rules can't: read free-text chargeback reasons, join them to shipping records, spot the pattern, explain it using only real fields, and rank the steps. It runs only when a rule fires, so cost grows with incidents, not merchants.

Guardrails: not a tool for fraudsters

- **Rules stay private:** exact limits only for established merchants; new ones see bands; internal risk signals never shown.
- **Some holds stay unexplained:** AML and fraud holds say "this reason can't be shared".
- **AI can't move money:** no releases or risk decisions; it acts only on approved steps, within permissions, with an audit trail.
- **No invented reasons:** explanations cite only the fields the rule used.
- **Gaming is watched:** merchants hovering just under a limit are flagged.
- **Pattern, not cause:** the courier is flagged to check, never switched automatically.

Key decisions

- **Rules score, AI plan.** A score that moves money must be auditable.
- **Delegate, don't duplicate.** Account Health decides what comes first; existing agents do the work.
- **Merchant in control.** Approve, skip or undo every step.
- **Not built yet:** a chatbot, auto-submitted chargeback replies, release-time promises, or anything that changes Razorpay's risk decisions.
- **Next:** the same engine for growth, for example finding why a merchant's UPI success rate dropped and suggesting the routing fix, using only data Razorpay already holds.

Value and success metrics

Merchant: ₹ held × days saved, plus chargebacks won.
Razorpay: fewer hold tickets, lower chargeback losses, retained GMV.

North Star	Working capital released sooner (₹ × days) for merchants with a hold, against a holdout group
Inputs	Time from alert to first action; plan completion; holds avoided among warned merchants
Business	Hold-related tickets per hold; 90-day retention after a hold
Guardrails	Wrong root-cause rate; false alerts; unsupported claims (target zero); merchants hovering under limits

Proving it works: a release after an action doesn't prove the action caused it. In the pilot, merchants with a new hold are randomly split: half get Account Health, half the current flow. Compare days to release and repeat chargebacks at 30 and 60 days. Targets are set only after this baseline. Outcomes re-rank future plans; the AI is first tested on past holds with a known cause.